

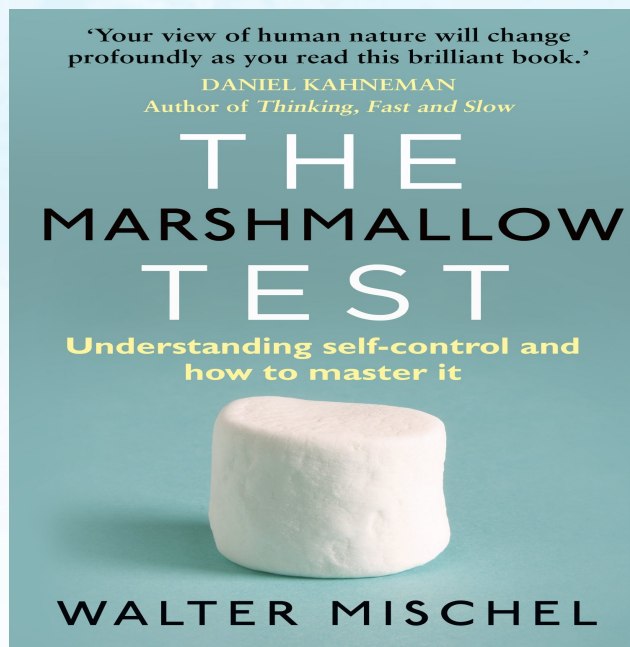
Moderate Compounders

The Happiness Portfolio



The Marshmallow Test

In the 1960s, Walter Mischel, an American psychologist, conducted a famous experiment which later came to be known as the Marshmallow experiment. Selected kindergarten students were given a difficult choice: they could eat a treat (marshmallow) now, or they could wait for 15 minutes and get rewarded with 2 marshmallows.



Over the next 40 years, these children were included in follow-up studies. It was found that the children who were willing to delay gratification and waited for their second marshmallow ended up having better scores, went on to achieve professional or business success and had better social skills compared to the children who took the easier path.

Learn More: <https://www.youtube.com/watch?v=XcmrCLL7Rtw>

In other words, this experiment demonstrated the virtue of **delayed gratification**: Doing what is hard now rather than doing what is easy.

This delayed gratification, in a way is the essence of compounding.

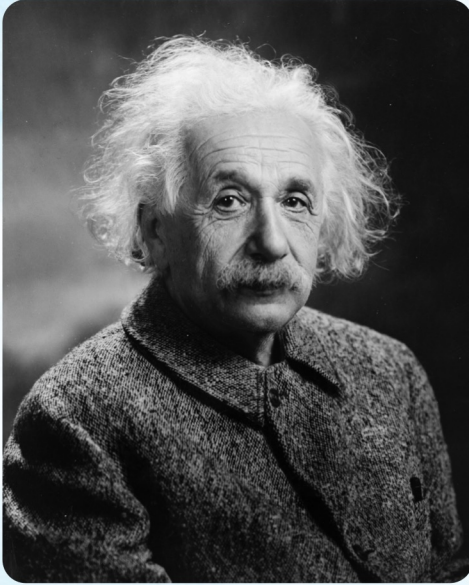


Most of us would have studied the compounding formula in school:

$$A = P * (1 + R/100)^N$$

Where **A** is the accumulated future value, **P** is the principal amount, **R** is the rate of return and **N** is the number of compounding periods.

Most investors and management's focus on the **R (rate of return)**, but few realize that the **N (No: of years)** is the exponent. That is what makes compounding truly wonderful and powerful.



“Compound Interest is the Eighth Wonder of the World. He Who Understands it, Earns it...He Who Doesn't, Pays it.”

- Albert Einstein

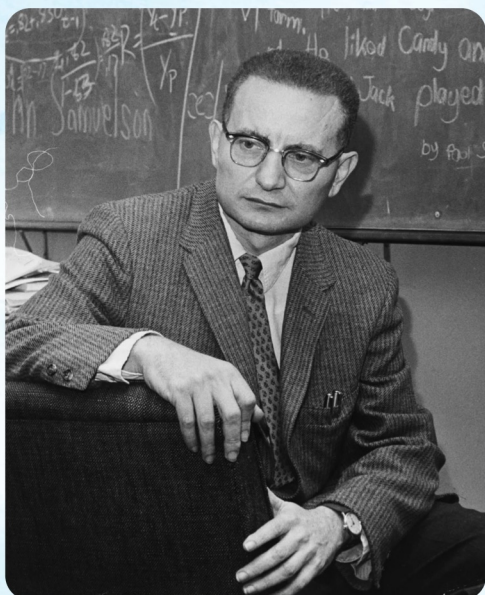
Jeff Bezos had the following quote that reflects the culture of long-term thinking in Amazon:

“A dreamy business offering has at least 4 characteristics: 1. Customers love it, 2. It can grow to very large size, 3. It has strong returns of capital and 4. it is durable in time with the potential to endure for decades.”



This quote above sums up effectively what we at **MOAT Financial Services** strive to identify and invest in our portfolios.

Our Moderate Compounders Portfolio, aka the Happiness portfolio, identifies “**great companies**” and “**going to be great companies**” with substantial MOAT surrounding them and invests in them for the long term, which lets the magic of compounding work its wonders. We believe Paul Samuelson summed it up nicely:



“ Investing Should be More Like
Watching Paint Dry or Watching Grass
Grow. If You Want Excitement, take \$800
and go to Las Vegas. ”

- Paul Samuelson

In our **Moderate Compounders strategy – Happiness Portfolio**, our aim is to generate 7-10 % Alpha over the benchmark index.



Happiness Portfolio



Strategy

Great Companies + Good to Great Companies



Philosophy

99% Character
1% Stock Selection



Principle

Stay away from noises,
Make less mistakes



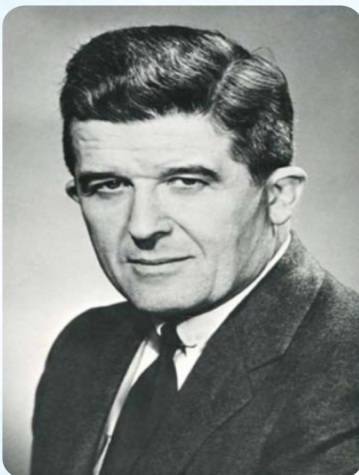
Objective

Generating 5-7% Alpha

*Projected/Expected Returns Under Normal Scenario Excluding Fees, Charges & Taxes

The Moderate Compounders strategy allocates in a combination of **Great companies** (characterised by their high ROCE/ROE, stable EPS growth rates) and **going to be Great companies** (characterised by their higher EPS growth rates, good ROE/ROCEs). This strategy is rooted in the philosophy of capital protection and sustainable long-term capital appreciation.

We gain advantage over time by staying intellectually honest while studying new ideas and existing holdings and only investing in the few in which we think the odds are significantly in our favor.



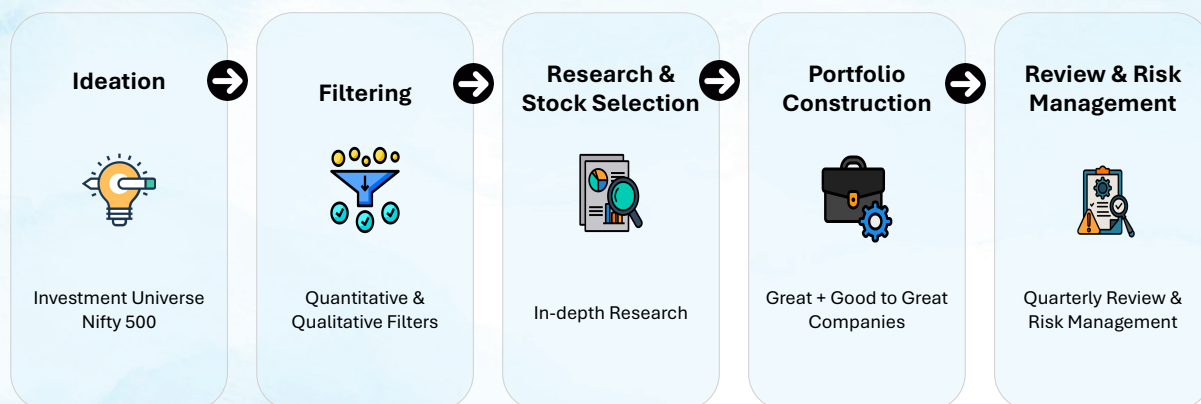
“ To Make Money in Stocks, You Need to Have Vision to See Them, Courage to Buy Them, and Patience to Hold Them. Patience is the Rarest of the Three. ”

- Thomas Phelps



We believe in reducing unforced errors instead of trying to hit the next home run (read the next multi-bagger). It is like the amateur tennis champion who wins because he or she has made fewer mistakes than the opponent.

Investment Process



We are staunch believers in sticking to our investment process rooted in our philosophy and adhering to our strategy. It will help us reach our ultimate goal of creating generational wealth for our clients, beating inflation handsomely and letting the power of compound interest work its magic.

*We believe the goals of investing with us should be happiness, joy, growth, intellectual satisfaction and eventually peace and serenity – Hence, “**The Happiness Portfolio**”*



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